

that while a foreign-government obligation is in theory a claim against the entire resources of the nation, the extent to which these resources are actually drawn upon to meet the external debt burden is found to depend in good part on political expediency. The grave international dislocations of the postwar period made some defaults inevitable, and supplied the pretext for others. In any event, because nonpayment has become a familiar phenomenon, its very frequency has removed much of the resultant obloquy. Hence the investor has, seemingly less reason than of old to rely upon herculean efforts being made by a foreign government to live up to its obligations during difficult times.

*The Foreign-Trade Argument.* It is generally argued that a renewal of large-scale international lending is necessary to restore world equilibrium. More concretely, such lending appears to be an indispensable adjunct to the restoration and development of our export trade. But the investor should not be expected to make unsound commitments for idealistic reasons or to benefit American exporters. As a *speculative operation*, the purchase of foreign obligations at low prices, such as prevailed in 1932, might prove well justified by the attendant possibilities of profit; but these tremendously depreciated quotations are in themselves a potent argument against later purchases of new foreign issues at a price close to 100% of face value, no matter how high the coupon rate may be set.

*The Individual-Record Argument.* It may be contended, however, that investment in foreign obligations is essentially similar to any other form of investment in that it requires discrimination and judgment. Some nations deserve a high credit rating based on their past performance, and these are entitled to investment preference to the same degree as are domestic corporations with satisfactory records. The legislatures of several states have recognized the superior standing of Canada by authorizing savings banks to purchase its obligations, and Vermont has accepted also the dollar bonds of Belgium, Denmark, Great Britain, Holland, and Switzerland.

A strong argument in the contrary direction is supplied by the appended list of the various countries having debts payable in dollars, classified according to the credit rating indicated by the market action of their bonds during the severe test of 1932.

1. Countries whose bonds sold on an investment basis: Canada, France, Great Britain, Netherlands, Switzerland.